

road remains, what shall I say, his corporate headquarters,' Monk said, grinning.

I asked Monk how his business was faring.

'The fun has gone out of this business. It has become too tough for traders and brokers. But it's not so bad for investors, though,' he said. 'Too many rules and regulations, and SEBI is now quick to pounce if it suspects something.'

A few months ago, SEBI had come down heavily on a group of listed shell companies that had been created just to help tax evaders. These companies would issue shares to investors who wanted to avoid taxes. Their share prices would be artificially inflated over a period of time. The investors would then sell the shares in the market to entities fronting for the company. These transactions were just book entries. If the investor had bought a share for Rs 10 and sold it at Rs 100 a year later, he could show Rs 90 as legitimate income from the stock market and not pay any tax on it. Not that the company was giving Rs 90 to that investor; that money would be reclaimed through a chain of bogus transactions.

Using the stock market to launder money and evade taxes had become much tougher over the last few years as the government and the regulator joined hands to plug leakages. Making money from confidential information too was no longer easy. In March 2014, L&T Finance shares fell sharply, just a day before the company issued shares to institutional investors at a sizeable discount to the market price. Somebody had leaked the pricing of the share sale, and a fund house heavily short-sold the stock. In less than two months, SEBI had hauled up the offending fund house.

I am not saying that malpractices in the market have stopped altogether. While earlier there was a 20 per cent probability of getting caught for malpractices and an 80 per cent probability of getting away, the ratio has now reversed.

A few days later I met a leading market operator of the 1990s at the wedding reception of a common friend.

'Algo has been the ruin of even the best of traders, Lala,' the operator told me as we tucked in at the food table. 'We are just no match for the smart trading software. The machines are doing to us what we did to the retail investors and day traders; they (software) pre-empt our actions and even panic us into selling out. I see a price on the screen and try to buy it, but it has already move up by 5 paise; the software has snatched it from me.'